During the exact same period, the inflation rate for the elderly was 3.30%, which is an average of almost 35 basis points per annum (or 0.35%) more over the last 25 years. This adds up to a difference of almost 15% over the 25-year period.

TABLE 5.5 Nursing Home Cost, Private Room

Location	Avg. Daily	Avg. Annual
San Francisco, CA	$371	$135,415
New York, NY	$352	$128,480
Boston, MA	$297	$108,405
Tulsa, OK	$163	$59,495
Wichita, KS	$157	$57,305
Baton Rouge, LA	$123	$44,895

Data Source: The MetLife Market Survey of Nursing Home & Assisted Living Costs, October 2007; IFID Centre calculations.

Now, my main point here is *not* that you should add another percentage point to your retirement income inflation projections. I don't think the CPI-E is relevant to you either, since it is also an average over a very large and diverse group of people. Rather, my main point is the fact that the Department of Labor bothers to compute an inflation rate for retirees should remind us that inflation is personal and unique. After all, if there is a CPI-E, why not a CPI-ME or a CPI-YOU? Depending on where you live, how you spend your money, how old you are, and even your gender, inflation is different.

Here is yet another example. The average inflation rate for the last ten years in Atlanta was 2.3%, compared to an average of 3.5% in San Diego. Likewise, a recent research report by Merrill Lynch quantifies the extent to which inflation is gender-based. According to their chief economist, the recent inflation rate for females has been about 3.6% and for males it is closer to 0.2%. Why? Their spending habits are different.

We all have slightly different and personal inflation rates based on spending habits. And as the owner of You, Inc., your task is to make sure that your newly invested financial capital keeps up with your very personal inflation rate, not some macro economic average. This is the true liability benchmark.